



September 18, 2025

*Submitted electronically*

Ms. Vanessa Countryman  
Secretary  
Securities and Exchange Commission  
100 F Street, N.E.  
Washington, D.C. 20549-1090

**Re: Roundtable on Trade Through Prohibitions (File Number 4-862)**

Dear Ms. Countryman:

MEMX LLC (“MEMX”) appreciates the opportunity to provide comments to the U.S. Securities and Exchange Commission (“Commission”) ahead of the Commission’s upcoming roundtable on trade-through prohibitions.<sup>1</sup> As an initial matter, MEMX is pleased that the Commission is prioritizing industry engagement before moving to a formal rulemaking on this topic. The trade-through prohibition adopted under Rule 611 of Regulation NMS (the “Order Protection Rule”) is in many ways the centerpiece of the

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<sup>1</sup> See SEC Announces Roundtable on Trade-Through Prohibitions (July 21, 2025), available at <https://www.sec.gov/newsroom/press-releases/2025-99-sec-announces-roundtable-trade-through-prohibitions>

Commission's equity market structure regulations. And the Options Order Protection and Locked/Crossed Markets Plan serves a similar purpose in the U.S. options market. Unraveling either of these rules today would have a significant impact on U.S. capital markets that will almost certainly eclipse that of any market structure rulemaking considered by the Commission in the two decades since Regulation NMS was adopted.

And, while the need for trade-through protections has been endlessly debated, significantly less attention has been paid to the practical question of what it means to unwind such a central piece of the Commission's regulatory regime. Order protection is the foundation on which much of our market structure edifice is built. Unravelling these protections means a fundamental reconsideration of the Commission's regulatory framework. If the Commission wants competition rather than regulatory intervention to guide the evolution of the market, there is a way to achieve that goal. However, as the Commission considers whether to remove its right hand from the scale, it must ensure that its left hand does not continue to push on the other side. If it does not do so, this free-market experiment will fail, and the Commission will simply revert to picking winners and losers.

Whatever the Commission ultimately decides to do with order protection, it must ensure that our broader capital markets regulatory regime continues to promote a robust displayed market. This can be done with — or without — trade-through protections. But eliminating such protections requires a careful evaluation of the Commission's broader regulatory framework, including certain directly related rules like the access fee cap and

prohibition on locked and crossed markets as well as intertwined rules that the Commission has historically sought to balance against regulatory benefits like order protection.

## I. **PATH FORWARD: A NEW DAY, AND NEW DECISIONS TO BE MADE**

Now is a new day at the Commission.<sup>2</sup> With Chair Atkins at the agency's helm, the era of paternalistic regulation is thankfully over. However, as our comments today will make clear, the path forward requires hard work and serious consideration of how to build the capital markets of the future. Competition must continue to be a driving force in these markets. And we appreciate the new administration's openness to facilitating competition and addressing historical burdens placed on market participants by its predecessors.

There are a few places the Commission can go from here:

1. **Maintain the status quo.** Order protection has been, and likely will remain, controversial. However, it is difficult to separate out associated benefits (e.g., competition) from costs (e.g., fragmentation). While this may seem like the least fulfilling choice, it also poses the smallest risks to the broader marketplace as U.S. capital markets have already adapted to the current regulatory regime.
2. **Grant one or more exceptions.** Many of the concerns that we have heard from market participants could be solved by implementing one or more exceptions, such

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<sup>2</sup> See Opening Remarks at the SEC Town Hall, Paul S. Atkins, Chairman, Commission (May 6, 2025), *available at* <https://www.sec.gov/newsroom/speeches-statements/atkins-townhall-05062025>.

as a market share threshold; exception for intentional order processing delays, i.e., speed bumps; or a block trading exception. Such exceptions may pose other difficult questions but would also be less risky than making broader changes. With respect to a market share threshold in particular, the Commission must consider where to set that threshold so as to promote continued competition from a wide range of competing exchanges and how to account for the significant share of off-exchange trading in U.S. markets.<sup>3</sup> The Commission should also consider introducing an “innovation sandbox” for exchanges that do not qualify for a protected quote.

3. **Repeal.** Eliminating order protection would be the most significant change the Commission could undertake. This change could bring U.S. capital markets closer to a true free market, but only if the Commission takes additional steps to ensure that its broader regulatory regime does not step in the way of this goal. Before treading this path, the Commission must ensure that it understands the fundamental restructuring of existing regulatory obligations that is required for success.

As the Commission contemplates the future of order protection, and the broader regulatory regime built with it as its centerpiece, we encourage you to approach these questions with an open mind. Market structure is a complex puzzle that involves fundamental tradeoffs — between competition and fragmentation; between investor protection and innovation; and between the risk of unintended consequences and

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<sup>3</sup> Canada imposes a 2.5% displayed market share threshold. See *infra* note 12 and associated text. Any market share threshold selected for the U.S. should similarly be based on share of displayed trading and should permit continued competition from a wide range of exchanges, including independent exchanges like MEMX.

complacency. While there may be more than one right answer to these questions, there is also no shortage of potential pitfalls. Our market structure may not be perfect, but it is not broken either, and reforms should be considered in the context of a market that has been remarkably good for the millions of investors that rely on it for their financial wellbeing. Order protection plays an important role in today's market — i.e., facilitating robust displayed liquidity. But there are other ways to achieve the same result. At the end of the day, the Commission must determine not simply what to do with order protection, but rather how it will use its regulatory authorities to promote competition and innovation more broadly.

## II. THE LONGSTANDING ORDER PROTECTION DEBATE, AT ITS CORE, IS SIMPLY A DEBATE ABOUT REGULATED MARKETS VERSUS FREE MARKETS

At the most fundamental level, there are two possible models for a market:

1. In a **regulated market** — like the one we have today — Commission rules impose significant regulatory obligations on market centers, which the agency has historically sought to balance with corresponding regulatory benefits.
2. In a **free market**, regulatory obligations and benefits are pared back and competitive forces, rather than regulatory intervention, determine how the market evolves.

There are certainly reasons that the Commission might prefer either of these frameworks. However, if the Commission wants to move from the regulated market that we have today to a more *laissez-faire* or free-market model, it cannot focus solely on order protection. While order protection is certainly a benefit of registering as an exchange, Commission regulations currently impose counterbalancing costs on displayed markets.

These include explicit costs, such as cost incurred to comply with Commission regulations, but more importantly includes implicit costs imposed by rules or interpretations that limit our ability to innovate. Removing the primary regulatory benefit associated with exchange registration without similar changes to the cost structure would make it more difficult for exchanges to compete, impacting displayed liquidity that the Commission, and for that matter Congress, has long considered to be at the “heart”<sup>4</sup> of the national market system.

If the Commission eliminates order protection, it will be the first time in American history that an exchange is just one of many places to purchase and sell securities, no different from any off-exchange venue competing based on execution quality.<sup>5</sup> This is not a bad thing, in and of itself. But it is *different*. And it requires a fundamentally different approach to regulation. In just the last year, off-exchange market share has eclipsed that executed on exchanges. If our displayed quotations are no longer protected, the exchange business model will need to evolve, and exchanges will need to innovate to attract volume. Ultimately, the debate about order protection is about the kind of market that we want to create. MEMX is not opposed to free markets. But free markets must be free. And if the Commission wants to change the game, we cannot be stuck playing by the old rules.

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<sup>4</sup> H.R. Rep. No. 94-229, 94th Cong., 1st Sess. 93 (1975).

<sup>5</sup> While order protection itself originated in Regulation NMS, requirements to trade on exchange date all the way back to the Buttonwood agreement, which required to signatory brokers to “give preference to each other in [their] negotiations.” See Buttonwood Agreement (May 17, 1192), *available at* [https://www.nyse.com/publicdocs/images/buttonwood\\_agreement\\_for\\_NYSE\\_History.jpeg](https://www.nyse.com/publicdocs/images/buttonwood_agreement_for_NYSE_History.jpeg).

There is value to having displayed markets with corresponding regulatory obligations. And there is value to competition too. As a member owned exchange, MEMX is keenly aware of both the benefits of the existing regulatory regime and the costs that it imposes on market participants. Our hope today is not to identify which path the Commission should take, but rather to help the Commission understand the depth of the decision before it. Order protection has served the market well for two decades. And while it is not some immutable characteristic of a market that displayed orders must be protected, eliminating order protection without simultaneously allowing exchanges to innovate would put displayed liquidity on exchange at risk. In turn, this would impact not just the exchanges, but the broader ecosystem that fundamentally relies on exchange quotations for price discovery.

### **III. CURRENT TRADE-THROUGH PROTECTIONS BOTH PROVIDE BENEFITS, AND IMPOSE COSTS, ON INVESTORS AND MARKET PARTICIPANTS**

Order protection has been somewhat controversial since inception, with now Chair Atkins famously writing a dissent to the adoption of Regulation NMS along with fellow Commissioner Glassman.<sup>6</sup> And, while complaints about such trade-through prohibitions may have cooled somewhat in the two decades since the rule was adopted, a range of market participants continue to be concerned about order protection requirements and the incentives they create. Most saliently, these include concerns about fragmentation of liquidity as well as costs associated with broker-dealers connecting to and trading on

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<sup>6</sup> Id.

smaller national securities exchanges. More broadly, the concern is that this regulatory intervention requires broker-dealers to make order routing and other business decisions based purely on the Commission's market structure choices rather than customer needs.

At the same time, such protections have also provided important benefits to investors. For one, a strong investor protection regime facilitates investor confidence. Indeed, we understand that many retail brokers support order protection requirements because these requirements ensure that retail limit orders posted on exchange are not traded through, reducing customer complaints. And, from a structural perspective, order protection has been pivotal in aiding the development of competitive exchange markets.

In fact, the Commission's 2010 Concept Release on Equity Market Structure ("Concept Release") illustrates the precipitous fall in the market share that the NYSE maintained in its own listed stocks from 79% when Regulation NMS was implemented to 25% just four years later.<sup>7</sup> This injection of competition accelerated the electronification of the U.S. capital markets and brought down fees for continuous trading where competition is now considered "fierce."<sup>8</sup> While there continue to be camps of market participants that either favor or disfavor order protection, few save the incumbent listing exchanges themselves would embrace this aspect of pre-Regulation NMS market structure.

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<sup>7</sup> See Securities Exchange Act Release No. 61358 (January 14, 2010), 75 FR 3594, 3595 (January 21, 2010) ("Concept Release").

<sup>8</sup> See *NetCoalition v. SEC*, 615 F.3d 525, 539 (D.C. Cir. 2010) (quoting Securities Exchange Act Release No. 59039 (December 2, 2008), 73 FR 74770, 74782-83 (December 9, 2008) (SR-NYSE-2006-21)).

Order protection requirements also facilitate displayed liquidity, providing an incentive for liquidity providers to post displayed quotations on exchange. While this benefit is difficult to model due to the significant evolution of U.S. capital markets that has occurred with order protection requirements in place, the Commission must also take care to ensure that any market structure it creates continues to promote robust displayed liquidity. In addition to an analysis of order protection itself, this requires a broader review of the Commission's regulatory regime and the obligations it imposes on market participants.

#### IV. **TRADE-THROUGH PROTECTIONS MUST BE ANALYZED IN RELATION TO A BROADER SET OF COMMISSION RULES THAT BALANCE REGULATORY COSTS IMPOSED ON EXCHANGES WITH COMMENSURATE REGULATORY BENEFITS**

MEMX has always supported data-driven market structure reforms that benefit investors and are supported by rigorous cost benefit analysis. This could include structural changes to Regulation NMS and its options counterpart. However, there are important questions that must be answered before embarking down this path. Failure to grapple with these questions seriously would expose the market to significant unintended risks, including risks to displayed liquidity and the broader competitive ecosystem. As part of any rulemaking related to order protection, the Commission must consider the following:

1. **Displayed liquidity**, which is likely to decrease in the absence of order protection unless the Commission makes broader pro-innovation changes to its rules.<sup>9</sup>

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<sup>9</sup> The impact of eliminating order protection on displayed liquidity may depend on the Commission's expectations under best execution. While we do not discuss best

2. **Directly related Commission rules** that, by their own terms, are limited in some capacity to protected quotations and must therefore be eliminated or amended (e.g., access fee cap; prohibition on locked or crossed markets).
3. **Intertwined Commission rules** that do not specifically relate to protected quotations but are part of an overall regulatory scheme that the Commission has designed to balance both the costs and benefits associated with registering as a national securities exchange (e.g., other fee limitations; Regulation SCI).

As Congress itself made clear when it enacted Section 11A of the Exchange Act,<sup>10</sup> displayed liquidity is at the “heart”<sup>11</sup> of our national market system. When liquidity providers choose to post displayed orders, they facilitate the immediate execution of contra-side orders entered by liquidity takers. Such displayed quotations also provide market data that is used by other market centers, including off-exchange venues that execute trades at the NBBO, NBBO midpoint, or with price improvement relative to the NBBO. Currently, trade-through protections incentivize displayed liquidity by ensuring that displayed orders are executed before the market transitions to a new price, partially compensating liquidity providers for the risk they take when posting displayed quotations. While it is difficult to

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execution changes in this letter, best execution is very much intertwined with the order protection framework, and the Commission should provide best execution guidance so that interested parties can fully evaluate the impact of such changes.

<sup>10</sup> 15 U.S. Code § 78k-1.

<sup>11</sup> See supra note 4.

quantify the precise magnitude of this economic incentive, the Commission must be careful to ensure its broader regulatory regime continues to facilitate robust displayed liquidity.

Even with existing trade-through protections, U.S. capital markets are generally *less* not more protective of displayed liquidity than foreign markets. Foreign jurisdictions, including those that do not have trade-through protections, as well as those that have adopted restrictions on which markets are considered protected, are often significantly more protective of displayed orders. The Canadian regulator, for example, has imposed restrictions on protected quote status, excluding exchanges that have implemented intentional order processing delays, i.e., speed bumps, and imposing a displayed market share threshold for protected marketplaces.<sup>12</sup> However, Canada's regulatory regime is significantly more protective of displayed liquidity than the U.S. overall, with more than 90% of volume executed on lit exchanges and various structural protections for displayed trading. These include rules requiring full depth-of-book protection;<sup>13</sup> minimum price improvement for dark trading;<sup>14</sup> and fair access obligations for all marketplaces, including alternative

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<sup>12</sup> See CSA Notice of Approval – Amendments to National Instrument 23-101 Trading Rules and Companion Policy 23-101CP to National Instrument 23-101 Trading Rules, *available at* [https://www.osc.ca/sites/default/files/pdfs/irps/csa\\_20160407\\_23-101\\_noa-amendments-trading-rules.pdf](https://www.osc.ca/sites/default/files/pdfs/irps/csa_20160407_23-101_noa-amendments-trading-rules.pdf).

<sup>13</sup> See Canadian Securities Administrators Notice of Amendments to National Instrument 21-101 Marketplace Operation and National Instrument 23-101 Trading Rules, *available at* [https://www.bcsc.bc.ca/-/media/PWS/Resources/Securities\\_Law/HistPolicies/HistPolicyBCN/CSA\\_Notice\\_to\\_NI-21101\\_NI-23101.pdf](https://www.bcsc.bc.ca/-/media/PWS/Resources/Securities_Law/HistPolicies/HistPolicyBCN/CSA_Notice_to_NI-21101_NI-23101.pdf).

<sup>14</sup> See Canadian Investment Regulatory Organization (“CIRO”), Universal Market Integrity Rules (“UMIR”) 6.6 (“Provision of Price Improvement by a Dark Order”). Generally, UMIR 6.6 requires that orders to purchase or sell Canadian securities

trading systems (“ATs”).<sup>15</sup> In addition, Canadian regulators have permitted exchanges to adopt functionalities that are not currently allowed on U.S. exchanges, including asymmetric speed bumps and on-exchange internalization of trades via broker preferencing.

By contrast, U.S. capital markets are unique in that Commission regulation has facilitated the development of off-exchange venues that supplement trading opportunities available on lit exchanges. While this structure provides value to market participants, there must be a balance between on- and off-exchange trading as displayed quotations provide the foundation for price discovery. MEMX is concerned that eliminating trade-through protections without further examination of the Commission’s broader market structure rules would harm displayed liquidity, leading to worse execution outcomes for investors.

National securities exchanges are highly regulated entities under the securities laws and the Commission’s implementing regulations. Today, Commission rules provide regulatory benefits, i.e., order protection, to these exchanges in recognition of the important role that displayed markets play in the national market system. These benefits are counterbalanced by a host of Commission rules that impose commensurate costs on exchanges and are intended to ensure that exchanges cannot take advantage of their privileged regulatory status. If the Commission removes the key privilege associated with exchange registration, it must also address the burdens that its rules place on exchanges.

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must be executed “at a better price,” i.e., with price improvement, when executing against a resting dark order, unless specified size requirements are met. Id.

<sup>15</sup> See Section 5.1(3)(a), National Instrument 21-101.

Commission regulations far beyond the trade-through prohibitions currently under review impose a host of regulatory burdens on national securities exchanges. Consider the following restrictions imposed by the Commission on registered exchanges. These include:

1. **Limitations on transaction fees** that can be charged to member broker-dealers pursuant to Rule 610(c) of Regulation NMS (the “access fee cap”).<sup>16</sup>
2. **Other limitations on fees**, including fees for market data and connectivity.
3. **Fair access rules**, which have been interpreted to significantly limit the market models that can be employed on national securities exchanges, stifling innovation.
4. **Rule 19b-4 approval process** for amending exchange rules, including rules related to the exchange’s market model, order types, other functionality, and fees.
5. **Unofficial Staff pronouncements**, i.e., “**secret law**,”<sup>17</sup> that as a practical matter governs the services that exchanges are allowed to offer to their clients.
6. **Regulation SCI**, which requires that exchange systems meet heightened requirements related to systems capacity, integrity, resiliency, availability, and security.
7. **Member regulation**, including the requirement to maintain costly surveillance and regulatory programs pursuant to Section 12 of the Exchange Act.<sup>18</sup>

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<sup>16</sup> In our comments below we also address changes to the prohibition on locked and crossed markets, which would impose costs in the absence of order protection.

<sup>17</sup> See SECret Garden: Remarks at SEC Speaks, Hester M. Peirce, Commissioner, Commission, *available at* <https://www.sec.gov/newsroom/speeches-statements/peirce-secret-garden-sec-speaks-040819>.

<sup>18</sup> Changes to the self-regulatory organization (“SRO”) framework are not discussed in this comment letter given the additional complexity that would entail. However, it is worth noting the significant expense incurred to regulate members.

With the exception of Regulation SCI, which also applies to a limited subset of the largest ATSS,<sup>19</sup> none of these regulations apply to other market centers, which therefore have more flexibility in how they compete. Removing the primary regulatory benefit conferred by exchange status, i.e., order protection, without simultaneously addressing the myriad costs associated with exchange registration, would harm liquidity on exchange, pushing order flow to trading platforms that are subject to lighter regulatory burdens. This includes non-displayed ATSS, i.e., dark pools, but could also include new lit ATSS that may offer similar services to exchanges without the regulatory overhead and with more flexibility to innovate.

During the last administration, MEMX and several other commenters took issue with the Commission's decision to independently analyze the impact of several interconnected rule proposals without considering the various ways that those rules interact with each other and with the Commission's broader regulatory regime. We understand that the new administration intends to operate differently. Indeed, in Chair Atkins' very first appearance before the United States House Appropriations Subcommittee on Financial Services and General Government, he communicated that the Commission "will... be sure to take into consideration how rules overlap and how regulatory burdens build."<sup>20</sup> As the Commission contemplates the future of trade-through protections, it must make every effort to ensure

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<sup>19</sup> 17 CFR § 242.1000 (see definition of "SCI ATS").

<sup>20</sup> See Testimony Before the United States House Appropriations Subcommittee on Financial Services and General Government, available at <https://www.sec.gov/newsroom/speeches-statements/atkins-testimony-fsgg-052025>, Paul S. Atkins, Chairman, Commission (May 20, 2025)

that regulatory burdens imposed by other Commission rules are commensurate with the more limited privileges that exchanges would enjoy under such free market regime.

### **Directly Related Commission Rules**

Several Commission rules are directly tied to order protection in that such rules, by their own terms, only apply to protected quotations. As discussed below, the access fee cap and prohibition on locked and crossed markets both fall into this category. The Commission will therefore have to determine if these rules should be eliminated or amended if order protection is repealed and exchanges no longer disseminate protected quotations.

#### Access fee cap

The access fee cap was adopted in Regulation NMS alongside the Order Protection Rule because of the possibility that certain “outlier”<sup>21</sup> exchanges could charge unreasonably high fees, “acting essentially as a toll booth between price levels.”<sup>22</sup> However, not only was order protection the impetus for this rule, by its own terms the rule only applies to fees charged “for the execution of an order against a *protected quotation*.”<sup>23</sup> (Emphasis added)

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<sup>21</sup> See Securities Exchange Act Release No. 51808 (June 9, 2005), 70 FR 37496, 37545 (June 29, 2005) (“Regulation NMS Adopting Release”).

<sup>22</sup> Id.

<sup>23</sup> 17 CFR § 242.610(d). The access fee cap only applies to transactions in NMS stocks. While there is no options equivalent, Commission staff have used their authority under Section 19 of the Exchange Act to impose similar restrictions on fees charged for the execution of options contracts in Penny Pilot symbols.

This means that the Commission must determine, one way or another, whether access fees are to remain capped on exchanges that do not retain the benefit of order protection. In doing so, the Commission must consider whether such pricing caps continue to be necessary in the absence of the Order Protection Rule, which is its ultimate *raison d'être*, and whether such caps are consistent with the Commission's vision for a free market.

Access fees, which most exchanges use to fund corresponding rebates under the standard maker/taker fee structure are one way that exchanges seek to compete. While limitations on these fees make sense in a world where market participants are required to access protected quotations under Regulation NMS, such limitations would need to be reassessed if an exchange is just another market center with no special regulatory privileges.

This question is even more critical given the Commission's recent amendments to Regulation NMS, which reduce the access fee cap from \$0.0030 per share to \$0.0010 per share.<sup>24</sup> While these changes are stayed pending the outcome of related litigation,<sup>25</sup> exchanges may in the future be prohibited from employing existing fee models, which typically involve charging fees for removing liquidity at or close to the \$0.0030 per share cap and rebating a substantial portion of those fees to liquidity providers to promote improved market quality. At the same time, the access fee cap has never applied to lit quotations displayed by an ATS, raising the possibility that existing or new ATSs could outcompete

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<sup>24</sup> See Securities Exchange Act Release No. 101070 (September 18, 2024), 89 FR 81620 (October 8, 2024) ("Regulation NMS Amendments).

<sup>25</sup> See Securities Exchange Act Release No. 101899 (December 12, 2024) ("Order Granting Partial Stay").

exchanges on liquidity incentives, gaining share as a result of this regulatory arbitrage.<sup>26</sup> The Commission must ensure that such an arbitrage is not feasible and that exchanges will be able to compete on equal footing with off-exchange venues offering similar services.

#### Locked/crossed markets

The prohibition on locked and crossed markets is also directly tied to trade-through protections. On the equities side, Rule 610(e) of Regulation NMS generally prohibits the display of “quotations that lock or cross any *protected quotation* in an NMS stock.”<sup>27</sup> (Emphasis added) And under the Options Order Protection and Locked/Crossed Market Plan, the terms “Locked Market” and “Crossed Market” are respectively defined to identify situations in which a Protected Bid is equal to (higher than) a Protected Offer. By their own terms, these rules would therefore not apply if the Commission eliminates order protection.

Moreover, as a practical matter, these rules cannot be extended to the locking or crossing of quotations that are not protected as market participants may choose not to clear certain displayed quotations, which could prevent other markets from transitioning to a new price level. Today, brokers are required to clear out all protected quotations before they can trade at inferior prices. When this happens, exchanges that had previously price slid orders to avoid locking or crossing away markets can unslide those orders, or they can accept new

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<sup>26</sup> Similarly, Rule 610(d) of Regulation NMS, which requires that exchange fees be “determin[able] at the time of execution,” does not apply to ATSS, including lit ATSS that may seek to compete with exchanges. 17 CFR § 242.610(d). This rule was adopted alongside the access fee cap changes and is not subject to a stay.

<sup>27</sup> The locking or crossing of manual quotations that are not considered protected is only prohibited if the locking or crossing quotation is itself a manual quotation.

orders at improved prices, transitioning the market to a new price level. If brokers can instead *avoid* trading with some or all of those protected quotations, there will be times when the exchanges are unable to transition to that new price level but trading activity on other venues that do not display quotations can continue unimpeded. In this situation, instead of leading price discovery, the displayed market would lag non-displayed markets, giving market participants a false view of market prices and shutting exchanges out from any resulting volume until such time as a market participant voluntarily lifts the offending quotation.

MEMX anticipates that markets in high volume NMS stocks, many of which are currently tick constrained,<sup>28</sup> will be locked or crossed a significant portion of the trading day as exchanges remove matching engine logic used to price slide locking or crossing quotations. As these rules are inherently tied to order protection, the Commission must consider the impact that frequently locked or crossed markets would have on price discovery and investor confidence, including whether any benefits anticipated from eliminating order protection outweigh costs associated with locked and crossed markets.

### **Intertwined Commission Rules**

Further, the Commission's broader regulatory regime places unique regulatory obligations on exchanges in exchange for regulatory privileges enjoyed under the current

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<sup>28</sup> See *Tick Constrained Securities, Why GE's basis point spread was four times higher before its reverse split—and what we should do about it*, Adrian Griffiths, Head of Market Structure, MEMX, available at <https://memx.com/insights/market-structure-report-examining-the-tick-constrained-securities-issue>.

market structure. These include additional limitations on fees that exchanges can charge; fair access obligations; the approval process for exchange proposed rule changes; a significant body of unofficial staff pronouncements, or “secret law,” that governs the services exchanges can offer; and technology requirements under Regulation SCI.

#### Other limitations on fees

In addition to the access fee cap, exchanges are subject to broader regulation of fees, which must be filed with the Commission pursuant to Section 19(b) of the Exchange Act<sup>29</sup> and Rule 19b-4 thereunder.<sup>30</sup> Under the Exchange Act, these fees must be reasonable,<sup>31</sup> equitable,<sup>32</sup> and not unfairly discriminatory.<sup>33</sup> Over the years, Commission staff have refined their views on how these statutory provisions apply to exchange fee filings, limiting both transaction and non-transaction fees that exchanges can levy on their customers.<sup>34</sup>

MEMX has been a strong proponent of those restrictions, which ensure that exchanges are held to a higher standard when enjoying regulatory privileges. For example, MEMX has long argued that exchange fees for proprietary market data and connectivity services should be constrained by Commission regulation as exchanges — and particularly the largest exchanges — may be able to generate supracompetitive profits when broker-

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<sup>29</sup> 15 U.S. Code § 78s(b).

<sup>30</sup> 17 CFR § 240.19b-4.

<sup>31</sup> 15 U.S. Code § 78f(b)(4).

<sup>32</sup> Id.

<sup>33</sup> 15 U.S. Code § 78f(b)(5).

<sup>34</sup> See Staff Guidance on SRO Rule Filings Relating to Fees (May 21, 2019), available at <https://www.sec.gov/about/staff-guidance-sro-rule-filings-fees>.

dealers have an obligation under existing regulatory requirements to access those markets. At the same time, staff guidance has indicated that exchange products or services that are “constrained by significant competitive forces”<sup>35</sup> are *de facto* reasonable,<sup>36</sup> potentially relieving the Commission of its obligation to determine whether such fees are appropriate and instead requiring that the market impose pricing discipline via purchasing decisions. While MEMX continues to believe that it is important to ensure that broker-dealers have cost effective access to exchange services, the Commission will ultimately have to decide whether competition or regulatory intervention will constrain the cost of such services.

#### Fair Access

Several Exchange Act provisions impose “fair access” obligations on national securities exchanges registered with the Commission. For example, outside of the fee context discussed above, Section 6 of the Exchange Act requires that the rules of an exchange: (1) permit any registered broker-dealer to become a member, unless subject to statutory disqualification;<sup>37</sup> (2) do not permit unfair discrimination between customers, issuers, brokers, or dealers;<sup>38</sup> and (3) do not impose an unnecessary burden on

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<sup>35</sup> Id.

<sup>36</sup> Id.

<sup>37</sup> 15 U.S. Code § 78f(b)(2).

<sup>38</sup> 15 U.S. Code § 78f(b)(5).

competition.<sup>39</sup> Over the years, Commission staff have interpreted these provisions to significantly limit the market models and functionality available on registered exchanges.<sup>40</sup>

While these statutory provisions have a long history that predates the adoption of Regulation NMS, the Commission has used its statutory authorities to exempt certain entities, i.e., ATSS, from these and other statutory requirements. In addition, other market centers that did not exist at the time these provisions were adopted, like wholesale market makers and single dealer platforms (“SDPs”), do not fall within the statutory definition of “exchange”<sup>41</sup> and therefore have no statutory fair access obligations. The result has been that the U.S. equity market has been bifurcated into two halves. First, the protected market, where market participants have an obligation to access displayed quotations and exchanges have an obligation to provide fair access thereto. Second, the off-exchange market where there is no order protection and such fair access obligations generally do not apply.<sup>42</sup> Much

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<sup>39</sup> 15 U.S. Code § 78f(b)(8).

<sup>40</sup> Consider MEMX’s retail midpoint liquidity program, which was disapproved by Commission staff as “unfairly discriminatory” because it would have provided priority to orders that publicly signal their willingness to trade with incoming retail orders ahead of non-displayed midpoint peg orders entered on the MEMX order book. See Letter from Adrian Griffiths, Head of Market Structure, MEMX to Vanessa Countryman, Secretary, Commission, dated December 5, 2022, *available at* <https://www.sec.gov/comments/sr-memx-2021-10/srmemx202110-20152274-320246.pdf>. There are many examples of similar proposals that were disapproved, withdrawn at the request of Commission staff, or not filed in the first place.

<sup>41</sup> 15 U.S. Code § 78c.

<sup>42</sup> Rule 301(b)(5) of Regulation ATS imposes a more limited set of fair access obligations on ATSS. 17 CFR § 242.301. However, those requirements are based on the ATS maintaining a market share greater than 5% in individual securities. MEMX understands that ATSS typically turn off trading in such securities before reaching the threshold to avoid having to comply with these fair access obligations.

of the growth of off-exchange markets can be attributed to segmentation, which allows reduction of price impact and adverse selection for institutional investors trading on ATSS, and facilitates price improvement opportunities offered by wholesale broker dealers to retail investors. However, exchanges are prohibited from employing similar strategies because of the requirement to provide fair access to its quotations to all registered broker dealers.

As discussed, when fair access obligations were introduced, the primary listing exchange was frequently the only market where broker-dealers could trade listed stocks. In this market structure, it was crucial that broker-dealers had the ability to trade on the exchange, as they would otherwise be effectively cut off from the market. Without order protection, the Commission should reassess whether these requirements are necessary for all exchanges. Primary listing exchanges may still need some level of fair access — for example, to ensure that all investors are able to participate in opening and closing auctions on a non-discriminatory basis. However, allowing other non-listing markets to innovate more freely would ensure that displayed markets continue to evolve alongside other broader shifts in the market, facilitating robust displayed liquidity on national securities exchanges.

#### Rule 19b-4 approval process

In addition to substantive requirements, the Rule 19b-4 approval process itself imposes constraints on exchange competition. As a general matter, the requirement for national securities exchanges to file proposed changes to their rules with the Commission is meant to provide sufficient time for the agency to evaluate such filings and determine whether they are consistent with the Exchange Act and, increasingly, staff interpretations

about the kinds of services that are appropriate for an exchange. This means that exchanges frequently have to wait up to 240 days before we are able to implement product changes,<sup>43</sup> even where the Commission ultimately determines that such changes are consistent with the federal securities laws. And, in some cases, the possibility for Commission review after the staff has made a decision via delegated authority imposes further delays beyond statutory deadlines.<sup>44</sup> Other market centers, like ATSs, are permitted to introduce new features immediately without being subject to Commission approval.<sup>45</sup>

As we understand it, the Commission is looking across its regulatory regime to identify areas where it can reduce regulatory burdens and facilitate innovation by market participants, including new market entrants.<sup>46</sup> In connection with potential changes to order protection, as well as these broader efforts to reassess regulatory burdens, the Commission should consider changes to the Rule 19b-4 filing process to allow streamlined innovation by both registered and unregistered entities. Current filing requirements are necessary where market participants are obligated to access an exchange's displayed quotations due to

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<sup>43</sup> 15 U.S. Code § 78s.

<sup>44</sup> See *supra* note 39.

<sup>45</sup> Regulation ATS requires that ATSs submit certain information to the Commission at least 20 calendar days prior to implementing a material change to their operation. 17 CFR § 242.301(b). However, this notice requirement is limited and there is no corresponding requirement for such changes to be approved by the Commission.

<sup>46</sup> See e.g., *Joint Statement from the Chairman of the SEC and Acting Chairman of the CFTC*, Chairman Paul S. Atkins, Chairman, Commission, Carline D. Pham, Acting Chairman, U.S. Commodity Futures Trading Commission (September 5, 2025), *available at* <https://www.sec.gov/newsroom/speeches-statements/joint-statement-atkins-pham-090525>.

trade-through protections. However, if exchanges are to be treated like any other venue, we would need to be able to compete on equal footing with non-exchange venues that can innovate without such limitations. And while Section 19(b) of the Exchange Act does include statutory provisions related to exchange rule changes,<sup>47</sup> the Commission could facilitate exchange innovation using the same broad authorities it used to grant similar exemptions from exchange filing requirements provided to ATSS pursuant to Regulation ATSS.

Unofficial Staff pronouncements, i.e., “secret law,”

Often the Commission regulates exchange business models not by formally promulgating rules pursuant to the authorities granted to the Commission under the Exchange Act, but through interpretations of broad regulatory requirements like the fair access provisions described above. Indeed, there is an entire body of law that exists only in the minds of Commission staff and a handful of attorneys that have conversed with those staff over the years. These unofficial staff pronouncements typically have the same practical effect as Commission rules but without any of the associated procedural protections that come from a formal rulemaking proceeding, such as the notice and comment process. Such “secret laws”<sup>48</sup> in the parlance of Commissioner Pierce cover all sorts of topics, from allowable exchange priority rules; ability to establish trading mechanisms that do not interact with other orders on the exchange’s order book; ability to use various pricing mechanisms such as step-up tiers or limiting options access fees in penny symbols, which

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<sup>47</sup> 15 U.S. Code § 78s.

<sup>48</sup> SECret Garden, *supra* note 17.

are not subject to the access fee cap but are still capped in practice; limitations on owning and operating an ATS that trades the same types of securities; etc. If the Commission eliminates order protection, it should make clear that these and other prior interpretations no longer hold and exchanges can innovate in the same manner as off-exchange venues.

### Regulation SCI

Finally, Regulation SCI requires that exchanges take certain steps to ensure that their systems have “levels of capacity, integrity, resiliency, availability, and security adequate to maintain their operational capability and promote the maintenance of fair and orderly markets.”<sup>49</sup> These rules, which were designed to ensure the resilience of key market infrastructure, impose significant costs on the SCI entities subject to the regulation.

When the Commission adopted Regulation SCI, it considered a wide range of comments about the scope of entities that would be subject to the regulation. With respect to SCI SROs, the Commission concluded that all exchanges play a significant role in the securities market and therefore deserved to be included within the scope of the regulation:

“For example, all stock exchanges are subject to a variety of specific public obligations under the Exchange Act, including the requirements of Regulation NMS which, among other things, designates the best bid or offer of such exchanges to be protected quotations. Accordingly, every exchange may have a protected quotation

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<sup>49</sup> See Securities Exchange Act Release No. 73639 (November 19, 2014), 79 FR 72252 (December 5, 2014) (“Regulation SCI Adopting Release”).

that can obligate market participants to send orders to that exchange. Among other reasons, given that market participants may be required to send orders to any one of the exchanges at any given time if such exchange is displaying the best bid or offer, the Commission believes that it is important that the safeguards of Regulation SCI apply equally to all exchanges irrespective of trading volume.”<sup>50</sup>

As this discussion makes clear, the Commission’s decision to include all registered exchanges within the scope of Regulation SCI rests largely on the fact that those exchanges disseminate protected quotations that market participants are required to access under order protection requirements. In the absence of those requirements, exchanges should be held to the same standards as other market participants unless something specific about their product offering, such as the operation of listing exchange auctions, suggests that particular exchanges are otherwise integral to the functioning of the national market system.

#### **V. THE COMMISSION MUST ANALYZE THE IMPACT OF ANY PROPOSED CHANGE TO THE ORDER PROTECTION FRAMEWORK ON VENUE COMPETITION**

Section 11A of the Exchange Act “direct[s]”<sup>51</sup> the Commission “having due regard for the public interest, the protection of investors, and the maintenance of fair and orderly markets, to use its authority... to facilitate the establishment of a national market system for

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<sup>50</sup> Id at 72261.

<sup>51</sup> 15 U.S. Code § 78k-1(a)(2).

securities... in accordance with the findings and to carry out the objectives”<sup>52</sup> laid out by Congress in that section. Among other things, Section 11A requires that the Commission “assure... fair competition among brokers and dealers, among exchange markets, and between exchange markets and markets other than exchange markets.”<sup>53</sup>

MEMX understands that the Commission’s interest in trade-through protections stems, at least in part, from its desire to facilitate competition.<sup>54</sup> However, rather than promote competition, MEMX is concerned that eliminating trade-through protections would reduce competition, pushing more order flow to off-exchange venues that are subject to lighter regulatory treatment under Commission rules, or to digital asset exchanges that the Commission is considering exempting from its core investor protection framework.<sup>55</sup> In addition, MEMX is concerned that such changes may also reduce competition from smaller independent exchanges like MEMX in favor of the incumbent primary listing exchanges, eliminating some of the key competitive benefits derived from such rules since inception.

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<sup>52</sup> Id.

<sup>53</sup> 15 U.S. Code § 78k-1(a)(1)(C)(ii).

<sup>54</sup> See American Leadership in the Digital Finance Revolution, available at <https://www.sec.gov/newsroom/speeches-statements/atkins-digital-finance-revolution-073125>, Paul S. Atkins, Chairman, Commission (July 31, 2025).

<sup>55</sup> Id.

## Competition between exchanges and other market centers

Section 3(a)(1) of the Exchange Act defines “exchange”<sup>56</sup> to include a “market place or facilities for bringing together purchasers and sellers of securities or for otherwise performing with respect to securities the functions commonly performed by a stock exchange.”<sup>57</sup> This statutory definition encompasses both registered national securities exchanges and ATSs that would otherwise be considered exchanges under the Exchange Act but have been exempted from exchange registration pursuant to Regulation ATS.

Regulation ATS has been successful in enabling innovation by ATSs and the largest ATSs now maintain market shares that exceed those of smaller exchanges, with the single largest ATS, for example, maintaining a market share that is larger than half of the sixteen registered exchanges. While these ATSs do not qualify for protected quote status, they are also not subject to the panoply of Commission regulations that apply to exchanges, including rules that would likely limit their ability to employ market models that have facilitated this growth. As the Commission considers whether to eliminate key regulatory benefits conferred to exchanges, it must also evaluate the necessity of imposing heightened regulatory obligations on such exchanges that do not apply to competing market centers.

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<sup>56</sup> 15 U.S. Code § 78c.

<sup>57</sup> Id.

## Competition among exchanges

Eliminating trade-through protections may have a similar impact on competition between exchanges. Regulation NMS spurred the introduction of new exchanges to compete with the large incumbent listing markets. As discussed, the Commission’s own data shows that the implementation of Regulation NMS precipitated a massive shift in flow away from what had previously been largely a monopoly of the New York Stock Exchange in its listed stocks to a broader constituency of competing markets.<sup>58</sup> While this shift may be said to have created more fragmentation, it is also true that the competition spurred by new exchange entrants has led to both improvements in the services that exchanges offer to customers and to pricing discipline with respect to transaction services for continuous trading where competition is most “fierce.”<sup>59</sup> Care should be taken to ensure that such benefits are not lost if trade through protections are eliminated or their scope reduced — for example, by imposing a market share threshold for an exchange to be protected.<sup>60</sup>

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<sup>58</sup> See Concept Release, *supra* note 7.

<sup>59</sup> See *NetCoalition v. SEC*, *supra* note 8. MEMX has previously calculated that net revenue capture for closing auctions conducted by NYSE and The Nasdaq Stock Market LLC (“Nasdaq”) may be as much as seven to fourteen times higher than during intraday trading where competition keeps prices down for market participants. See Letter from Adrian Griffiths, Head of Market Structure, MEMX to Vanessa Countryman, Secretary, Commission, dated March 31, 2023, *available at* <https://www.sec.gov/comments/s7-30-22/s73022-20163328-333796.pdf>.

<sup>60</sup> See *supra* note 3.

## Competition from digital asset markets & tokenized securities

Section 11A does not contain a specific directive that the Commission facilitate competition from unregistered entities, such as digital asset exchanges looking to trade tokenized NMS stocks. Nevertheless, MEMX understands that the Commission's interest in trade-through prohibitions and Regulation NMS more broadly may be guided, to some extent, by a desire to facilitate tokenization of such securities.<sup>61</sup> While MEMX does not object to tokenization itself, thought must be given not just to whether to tokenize but how to do so in a manner that protects investors and the great American asset that is its capital markets.

As MEMX understands it, various digital asset exchanges are seeking exemptions from existing investor protections that they contend hinder their ability to trade to tokenize.<sup>62</sup> Before dismantling any core investor protections at the behest of such firms, the Commission should determine for itself that such exemptions are truly necessary to facilitate its vision for U.S. capital markets. As a new exchange, MEMX can attest that a significant amount of technology work is required to maintain compliance with order protection requirements and other associated rules, like the prohibition on locked or crossed markets. However, it's not clear why digital asset exchanges believe they are uniquely incapable of complying with these rules in the same manner as every other market center. Given the importance of the Commission's investor protection regime to U.S. capital markets, any changes to these rules that are meant to facilitate tokenization should be

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<sup>61</sup> See American Leadership in the Digital Finance Revolution, supra note 54.

<sup>62</sup> Id.

subject to public comment so that market participants can provide relevant feedback and the Commission can consider both the costs and benefits associated with such changes.

To be clear, MEMX does not object to the Commission working with market participants, including digital asset exchanges, to understand their business and provide an appropriate pathway for trading in tokenized NMS stocks in a manner consistent with the securities laws. Regulation by enforcement, as undertaken by the previous administration, leaves much to be desired. However, in reversing course the Commission should not swing the pendulum all the way to the other side. U.S. capital markets have grown into what they are today through tireless work by both market participants and the Commission itself. In a bid to finally provide clear rules of the road to digital asset market participants, the Commission must not throw away the work that it has done over the last ninety years to safeguard American markets. Working with digital asset exchanges does not mean giving up the Commission's core mission simply to advance the wants of new market entrants.<sup>63</sup> Rather, digital asset exchanges must show that they too are serious about investor protection and will work with the Commission to offer their services in a compliant manner.

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MEMX thanks the Commission for the opportunity to participate in its roundtable on trade-through protections. As the roundtable progresses, the Commission is sure to hear from a diverse group of market participants. Some will call for the immediate repeal of order

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<sup>63</sup> The Commission's tripartite mission includes protecting investors, maintaining fair, orderly, and efficient markets, and facilitating capital formation.

protection; others will defend it; while others will look for some middle ground. The Commission should listen carefully to each of these views as it determines how to proceed. However, the Commission must also take this discussion a step further. Free markets are only viable if truly free. If the Commission wishes to chart a path forward on this basis, MEMX stands ready to work with the Commission to ensure that its broader regulatory framework supports fair and competitive markets that serve the needs of American investors.

Sincerely,

/s/ Adrian Griffiths

Adrian Griffiths  
Head of Market Structure